

DAY TRADING STRATEGY TEMPLATE

Your First Repeatable System

1. STRATEGY OVERVIEW

Strategy Name: Moving Average Breakout + Support/Resistance
Timeframe: 5-min, 15-min, 1-hour candles
Market: Stocks (any sector, any cap)
Trading Style: Day trading (hold minutes to hours)
Expected Win Rate: 55-60% (realistic baseline)

2. ENTRY SETUP CONDITIONS

You enter a position when ALL of these are true:

Condition	Details	Why It Matters
Price Position	Stock trades above 20-day moving average	Indicates uptrend; higher probability of continuation
Support Found	Identify a clear support level (previous low or round number)	Defines where to buy/drop in; your risk zone
Resistance Found	Identify a clear resistance level (previous high or round number)	Defines where to take profit
Volume	Current candle has above-average volume	Confirms breakout; low volume = false breakout risk
Entry Signal	Price BREAKS above resistance	Momentum off support; not guessing, reacting

3. RISK MANAGEMENT (NON-NEGOTIABLE)

Stop Loss: 1-2% below your entry price. Place IMMEDIATELY after entry. Do not move it against you.

Position Size: Risk no more than 1% of your account per trade. If account = \$10,000, max loss per trade = \$100.

Risk-to-Reward: Target must be at least 2x your risk. If risk is \$100, target is +\$200 minimum.

Max Trades Per Day: 3-5 high-conviction setups only. Quality over quantity.

Daily Loss Limit: If you lose 2% of your account in one day, STOP trading. Protect your capital.

4. EXACT ENTRY & EXIT RULES

Stage	Rule	Action
ENTRY	Price breaks above resistance + volume spike	BUY at market or limit at resistance level
ENTRY	Price bounces off support + volume spike	BUY at market or limit near support
POSITION HELD	Watch for loss of momentum or rejection	Hold until target or stop loss
EXIT	Price reaches target (2-3% above entry)	SELL entire position. Take the profit. Done.
EXIT	Stop loss triggered	SELL immediately. Protect capital. Move to next setup.
EXIT	Reversal signal or 4+ hours elapsed	SELL position. Don't hold overnight as day trader.

5. REAL-WORLD EXAMPLE

Ticker: AAPL

Time: 10:30 AM (morning breakout)

Current Price: \$175.50

Setup:

- AAPL trades above 20-day MA (✓)
- Support at \$174.00 (prior day low)
- Resistance at \$177.00 (prior 5-day high)
- Candle closes above \$176.50 on high volume

Decision: BREAKOUT ENTRY

- BUY 100 shares at \$176.80
- STOP LOSS at \$174.50 (2.30 risk)
- TARGET at \$179.80 (3% gain = \$300 profit)
- Risk/Reward = 1 : 1.3 (acceptable)

Outcome Scenario A (WIN):

Price rallies to \$180. SELL all at \$179.80. +\$300 profit. Next setup.

6. BACKTESTING & JOURNALING

Before real money:

1. Pick 10-20 past days of price action
2. For each day, identify setups using YOUR rules
3. Mark entries, stops, targets on historical charts
4. Count: How many hit target? How many hit stop? Win rate?
5. Calculate: Average win \$ vs. average loss \$
6. If win rate <50% OR risk > reward, refine rules. Repeat.

Once paper trading (TradingView):

1. Create a trade journal (spreadsheet): Date | Ticker | Entry | Stop | Target | Exit Price | P&L;
2. After each trade, write 2-3 sentences: Why you entered, why you exited, what you'd do differently
3. Review end of week. Do you see patterns in your wins/losses?
4. Once 50+ trades logged and >55% win rate, consider small real account

Sample Trade Journal Columns:

Date | Ticker | Entry Price | Entry Time | Stop Loss | Target | Exit Price | Exit Time | P&L; | Notes

7. DEADLY MISTAKES TO AVOID

- Entering without a stop loss. You WILL get blown out.
- Moving your stop loss against you ('just give it room'). You'll wipe out.
- Revenge trading after a loss. You make worse decisions when emotional.
- Trading news. Vol is high, but direction is unpredictable. Stick to patterns.
- Ignoring your rules. 'This time is different.' It never is.
- Over-trading. 10 mediocre trades lose more than 3 great trades win.
- Holding winners too long. Take your 2-3% target and move on.
- No stop loss = death. Seriously. No exceptions.

8. YOUR NEXT STEPS

Week 1: Load 5 stocks into TradingView. Identify support/resistance on 5 past days. Manual backtesting.

Week 2: Paper trade for real. Follow your rules exactly. Log 10 trades in your journal.

Week 3: Review journal. Calculate win rate. Refine entry rules if <50%.

Week 4: Complete 50 paper trades. If 55%+ win rate, consider small real account (\$500-1000).

Real Money: \$1-2 per trade risk only. First goal: 100 trades at 55%+ accuracy. Build from there.

Remember: You're not trying to get rich this week. You're proving your system works. Master the process, and the money follows.